CONCRETE SUBCONTRACT AGREEMENT

This Concrete Subcontract Agreement (this "Subcontract") is entered into as of February 2, 2026 (the "Effective Date") by and between **Sierra Crest General Contractors, Inc.**, a California corporation with its principal office at 1180 East Walnut Street, Suite 300, Pasadena, California 91106, California Contractors State License Board ("CSLB") License No. 1048827, Class B ("Contractor"), and **Granite State Concrete, Inc.**, a California corporation with its principal office at 415 West Huntington Drive, Monrovia, California 91016, CSLB License No. 987214, Class C-8 ("Subcontractor").

Contractor has entered into a prime contract dated December 15, 2025 (the "Prime Contract") with **Pasadena Arts Foundation** ("Owner") for construction of the **Colorado Boulevard Gallery Expansion**, located at 2250 East Colorado Boulevard, Pasadena, California 91107 (the "Project"). Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract, and Subcontractor wishes to perform that work, on the terms stated below.

In consideration of the mutual promises in this Subcontract, the parties agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Defined Terms.** "Work" means all labor, materials, equipment, supervision, testing coordination, and services required to complete the scope described in Article 2, including incidental items that are reasonably inferable from the Subcontract Documents. "Subcontract Sum" means the amount stated in Paragraph 3.1, as adjusted by Change Order. "Change Order" means a written document signed by Contractor and Subcontractor that changes the Work, the Subcontract Sum, or the Subcontract Time. "Subcontract Time" means the period for performance stated in Article 4. "Architect" means Halvorsen Lim Architects, LLP, or any successor designated by Owner.

1.2 **Subcontract Documents.** The Subcontract Documents consist of (a) this Subcontract, including its Exhibit; (b) the Prime Contract, to the extent it relates to the Work; (c) the Drawings and Specifications prepared by Architect for the Project, Issue for Construction set dated November 21, 2025, including Addenda 1 through 3; (d) the geotechnical report prepared by Arroyo Earth Sciences, Inc., Report No. AES-25-1187, dated July 8, 2025, for reference only; and (e) Change Orders issued after the Effective Date.

1.3 **Flow-Down.** To the extent the Prime Contract applies to the Work, Subcontractor assumes toward Contractor the same obligations Contractor assumes toward Owner. Contractor has toward Subcontractor the same rights and remedies Owner has toward Contractor. If a provision of the Prime Contract conflicts with an express provision of this Subcontract, this Subcontract controls as between Contractor and Subcontractor.

1.4 **Order of Precedence.** If the Subcontract Documents conflict, they are given precedence in the following order: (a) Change Orders, latest first; (b) this Subcontract; (c) the Specifications; (d) the Drawings; and (e) the Prime Contract. Where a conflict concerns quantity or quality, the greater quantity or higher quality governs unless Contractor directs otherwise in writing.

ARTICLE 2 — SCOPE OF WORK

2.1 **General Scope.** Subcontractor shall furnish and install all cast-in-place concrete work for the Project as described in Specification Sections 03 10 00 (Concrete Forming and Accessories), 03 20 00 (Concrete

Reinforcing), 03 30 00 (Cast-in-Place Concrete), and 03 35 00 (Concrete Finishing), and as shown on Drawings S-001 through S-412 and A-101 through A-140.

2.2 **Included Items.** The Work includes, without limitation:

(a) spread footings, continuous footings, and grade beams for the new two-story gallery wing;

(b) the slab-on-grade, including vapor retarder under Section 07 26 00, sub-slab aggregate base, and saw cutting of control joints;

(c) the elevated second-floor slab on metal deck, including edge forms and screeds;

(d) the exterior architectural board-formed concrete wall at the Colorado Boulevard frontage, finished to match the approved mockup;

(e) furnishing and setting of anchor bolts, embed plates, and sleeves furnished by others where shown;

(f) polished concrete finish in Gallery Rooms 104 through 110 per Section 03 35 43;

(g) curing, protection, and cleaning of all concrete surfaces until acceptance; and

(h) concrete pumping, hoisting, and all layout from Contractor's primary control lines.

2.3 **Excluded Items.** The Work excludes mass excavation, structural steel, metal decking, site paving outside the building footprint, and special inspection fees, which Owner pays directly. Subcontractor shall coordinate with the special inspector and give at least forty-eight (48) hours' notice before each placement.

2.4 **Examination.** Subcontractor represents that it has examined the Subcontract Documents and the Project site and has satisfied itself about conditions affecting the Work. Subcontractor shall report any error, inconsistency, or omission in the Subcontract Documents to Contractor in writing before proceeding with the affected Work.

2.5 **Submittals.** Subcontractor shall submit mix designs, reinforcing shop drawings, product data, and the board-form mockup for approval no later than twenty-one (21) days after the Effective Date. Approval of a submittal does not relieve Subcontractor of its obligation to comply with the Subcontract Documents.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Amount.** Contractor shall pay Subcontractor for full performance of the Work the fixed sum of **Three Hundred Eighty-Six Thousand Dollars ($386,000.00)** (the "Subcontract Sum"), subject to additions and deductions by Change Order.

3.2 **Inclusions.** The Subcontract Sum includes all applicable taxes, fees, permits relating solely to Subcontractor's operations, freight, and costs of compliance with prevailing law. It also includes overhead and profit.

3.3 **Schedule of Values.** The Subcontract Sum is allocated in the Exhibit — Schedule of Values. Contractor will use the Schedule of Values only to evaluate applications for payment; it does not limit Subcontractor's obligation to complete the entire Work for the Subcontract Sum.

ARTICLE 4 — TIME AND SCHEDULE

4.1 **Commencement and Completion.** Subcontractor shall mobilize and begin the Work on or about March 16, 2026, or within five (5) working days after Contractor's written notice to proceed, whichever is later. Subcontractor shall substantially complete the Work by August 28, 2026, subject to adjustment by Change Order.

4.2 **Schedule Coordination.** Subcontractor shall perform the Work in the sequence and at the times that Contractor's project schedule requires, as Contractor updates that schedule from time to time. Subcontractor shall provide a three-week look-ahead schedule at each weekly coordination meeting.

4.3 **Time Is of the Essence.** Time is of the essence in this Subcontract. If Subcontractor falls behind the project schedule for reasons within its control, Subcontractor shall add labor, shifts, or equipment at its own expense to recover lost time.

4.4 **Delays.** If Subcontractor is delayed by causes beyond its control and without its fault, including acts of Owner or Contractor, unusually severe weather, or governmental action, Subcontractor shall receive an extension of the Subcontract Time equal to the actual delay to the critical path. To receive an extension, Subcontractor must give written notice within seven (7) days after the delay begins. Except to the extent Owner compensates Contractor for the delay, an extension of time is Subcontractor's sole remedy for delay.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 **Applications for Payment.** On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an application for payment covering Work performed through the end of that month. The application must use the Schedule of Values, state the percentage complete of each line item, and include the conditional waiver required by Article 7.

5.2 **Pay-When-Paid Timing.** Contractor shall pay Subcontractor the amount Contractor approves on each application for payment within seven (7) days after Contractor receives payment from Owner covering that Work. The parties have agreed to this pay-when-paid timing in writing by signing this Subcontract, and they acknowledge that it reflects their negotiated agreement on when payment becomes due.

5.3 **Nature of Timing Provision.** Paragraph 5.2 fixes the time for payment and is not a condition precedent to payment. Owner's failure to pay Contractor does not relieve Contractor of its obligation to pay Subcontractor for Work properly performed. If Owner has not paid Contractor for reasons unrelated to Subcontractor's performance, Contractor shall pay Subcontractor within a reasonable time. Paragraph 5.2 is intended to comply with California Business and Professions Code Section 7108.5.

5.4 **Approval of Amounts.** Contractor may adjust an application to reflect Contractor's good-faith evaluation of the Work actually completed, and shall include the adjusted amount in Contractor's own application to Owner. If Contractor reduces an application, Contractor shall notify Subcontractor in writing of the reduction and the reason for it.

5.5 **Stored Materials.** Contractor will not pay for materials or equipment stored on or off the Project site. Subcontractor may bill materials only after they are incorporated into the Work in place. Subcontractor bears the risk of loss for its materials and equipment until incorporation.

5.6 **Final Payment.** Upon completion of the Work, Subcontractor shall submit a final application for payment. The final application must include the following: as-built markups, warranties, the close-out documents required

by Section 01 77 00, and the conditional final waiver required by Article 7. Contractor shall make final payment within seven (7) days after Contractor receives final payment from Owner covering the Work, subject to Paragraph 5.3 and Article 8.

5.7 **Payment Not Acceptance.** No payment is acceptance of defective or nonconforming Work, and no payment waives any claim by Contractor.

ARTICLE 6 — RETENTION

6.1 [Intentionally Omitted.]

ARTICLE 7 — LIEN AND PAYMENT WAIVERS

7.1 **Conditional Waiver Before Progress Payment.** As a condition of each progress payment, Subcontractor shall deliver with its application for payment a Conditional Waiver and Release on Progress Payment covering the full amount requested.

7.2 **Unconditional Waiver After Payment.** After Subcontractor receives each progress payment, Subcontractor shall deliver to Contractor an Unconditional Waiver and Release on Progress Payment covering the amount received. Subcontractor must deliver this waiver no later than the date of its next application for payment, and Contractor need not process that next application until the waiver is received.

7.3 **Statutory Forms Required.** Every waiver and release under this Article must be in the form prescribed by California Civil Code Sections 8132, 8134, 8136, and 8138, as applicable. Contractor will reject any waiver that departs from the statutory form or that adds exceptions not permitted by statute. The final payment waivers shall be the Conditional Waiver and Release on Final Payment (Section 8136), delivered with the final application. Subcontractor shall also deliver the Unconditional Waiver and Release on Final Payment (Section 8138) after receiving final payment.

7.4 **Lower-Tier Waivers.** Subcontractor shall obtain and deliver to Contractor, with each application for payment, conditional statutory waivers from each of its sub-subcontractors and suppliers whose labor or materials are included in the application. After making payment, Subcontractor shall obtain and deliver unconditional statutory waivers from each of them. Lower-tier waivers are subject to the same timing as Subcontractor's own waivers. The lower-tier suppliers include the ready-mix supplier, the reinforcing steel fabricator, and the pumping contractor.

7.5 **Lien-Free Work.** Subcontractor shall keep the Project and Owner's property free of mechanics liens, stop payment notices, and bond claims arising from the Work. If any such lien, notice, or claim is recorded or served, Subcontractor shall cause it to be released or bonded around within ten (10) days after written demand. If Subcontractor fails to do so, Contractor may do so and charge the cost, including reasonable attorneys' fees, to Subcontractor.

ARTICLE 8 — SETOFF AND WITHHOLDING

8.1 **Backcharge Setoff.** Contractor may set off against any amount due to Subcontractor under this Subcontract the amount of any backcharge for costs Contractor incurs because of Subcontractor's acts or omissions. Such costs include cleanup, damage to the work of others, corrective work, and supplementation

of Subcontractor's forces. Before setting off a backcharge, Contractor shall give Subcontractor written notice describing the backcharge and at least forty-eight (48) hours to cure, except in an emergency.

8.2 **Withholding for Defective Work.** Contractor may withhold from any payment an amount sufficient to correct Work that is defective or does not conform to the Subcontract Documents. Contractor may withhold this amount until the Work is corrected and accepted by Contractor and Architect. Such Work includes concrete that fails strength testing, slab flatness tolerances, or the approved architectural finish standard.

8.3 **Other Grounds.** Contractor may also withhold payment, to the extent permitted by California Business and Professions Code Section 7108.5, for the following:

(a) unpaid claims of Subcontractor's lower-tier subcontractors or suppliers;

(b) Subcontractor's failure to deliver the waivers required by Article 7; or

(c) a good-faith dispute over the amount due.

Any amount withheld in a dispute shall not exceed one hundred fifty percent (150%) of the disputed amount.

8.4 **Release of Withheld Amounts.** When the grounds for withholding are removed, Contractor shall pay the amounts withheld with the next regular progress payment.

ARTICLE 9 — CHANGES

9.1 **Changes in the Work.** Contractor may, without invalidating this Subcontract, order additions, deletions, or other changes in the Work. Subcontractor shall proceed with changed Work upon Contractor's written direction, even if the adjustment in price or time has not been agreed.

9.2 **Pricing.** Subcontractor shall submit an itemized proposal for each change within seven (7) days after Contractor's request. Markup on changed Work shall not exceed ten percent (10%) on Subcontractor's own direct costs and five percent (5%) on the cost of lower-tier subcontractors.

9.3 **Claims.** Subcontractor shall give written notice of any claim for additional compensation or time within seven (7) days after the event giving rise to the claim, and shall submit full supporting documentation within twenty-one (21) days. Claims that depend on Owner's decision shall be handled through the Prime Contract dispute procedures. Subcontractor shall be bound by the result to the same extent Contractor is bound.

9.4 **No Unauthorized Work.** Contractor will not pay for extra work performed without a Change Order or a written field directive signed by Contractor's project manager.

ARTICLE 10 — INSURANCE AND INDEMNITY

10.1 **Required Coverage.** Before beginning the Work, Subcontractor shall furnish certificates and endorsements showing the following coverage with insurers rated A- VII or better by A.M. Best:

(a) commercial general liability insurance of $2,000,000 per occurrence and $4,000,000 aggregate;

(b) automobile liability insurance of $1,000,000 combined single limit;

(c) workers' compensation insurance at statutory limits, with employer's liability of $1,000,000; and

(d) umbrella liability insurance of $5,000,000.

10.2 **Additional Insureds.** Contractor, Owner, and Architect shall be named as additional insureds on the general liability, automobile, and umbrella policies for ongoing and completed operations, on a primary and non-contributory basis. Each policy shall include a waiver of subrogation in their favor.

10.3 **Indemnity.** To the fullest extent permitted by law, and subject to California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and their officers and employees. This obligation covers claims, damages, losses, and expenses, including attorneys' fees, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor or anyone for whom Subcontractor is responsible. This obligation does not extend to claims caused by the active negligence or willful misconduct of an indemnitee.

ARTICLE 11 — WARRANTY AND CORRECTION OF WORK

11.1 **Warranty.** Subcontractor warrants that the Work will be of good quality, free from defects, and in conformance with the Subcontract Documents. Subcontractor also warrants that all materials will be new unless otherwise specified.

11.2 **Correction Period.** For one (1) year after substantial completion of the Project, Subcontractor shall promptly correct any Work found to be defective or nonconforming. Subcontractor shall also repair any damage to other work caused by the defect or by its correction. This obligation is in addition to any longer period required by the Specifications or by law.

11.3 **Polished Concrete.** Subcontractor's warranty for polished concrete in the gallery rooms extends to cracking beyond specified widths, delamination, and staining caused by improper curing or densifier application.

ARTICLE 12 — SAFETY, SITE, AND COMPLIANCE

12.1 **Safety.** Subcontractor is responsible for the safety of its employees and its lower-tier subcontractors. Subcontractor shall comply with Cal/OSHA regulations and Contractor's site safety program. Subcontractor shall designate a competent person on site at all times when Work is underway.

12.2 **Silica Control.** Subcontractor shall implement a written exposure control plan for respirable crystalline silica. The plan shall cover saw cutting, grinding, and polishing operations.

12.3 **Cleanup.** Subcontractor shall remove its debris, washout, and excess materials daily. Subcontractor shall maintain a lined concrete washout area at the location Contractor designates and comply with the Project's stormwater pollution prevention plan.

12.4 **Licensing and Labor Law.** Subcontractor shall maintain its CSLB license in good standing throughout the Work. Subcontractor shall also comply with all applicable wage, hour, and payroll requirements.

ARTICLE 13 — DEFAULT AND TERMINATION

13.1 **Default.** Subcontractor is in default if any of the following occurs:

(a) it fails to supply enough skilled workers or proper materials;

(b) it fails to maintain the schedule;

(c) it fails to pay its lower-tier subcontractors or suppliers when due;

(d) it disregards laws or Contractor's instructions; or

(e) it otherwise materially breaches this Subcontract.

13.2 **Notice and Cure.** If Subcontractor defaults, Contractor may give written notice of default. If Subcontractor does not begin to cure within three (3) working days and diligently complete the cure, Contractor may do either or both of the following: (a) supplement Subcontractor's forces; or (b) terminate this Subcontract in whole or in part and complete the Work by other means. Subcontractor is liable for the cost of completion that exceeds the unpaid balance of the Subcontract Sum.

13.3 **Termination for Convenience.** If Owner terminates the Prime Contract for convenience, or if Contractor otherwise elects, Contractor may terminate this Subcontract for convenience on written notice. In that event, Subcontractor shall be paid for Work properly performed through the termination date, plus reasonable demobilization costs. Subcontractor shall not recover anticipated profit on unperformed Work.

ARTICLE 14 — DISPUTE RESOLUTION

14.1 **Negotiation.** The parties shall first attempt to resolve any dispute through good-faith discussions between senior representatives. These discussions shall take place within fourteen (14) days after either party's written request.

14.2 **Mediation.** If the dispute is not resolved, the parties shall submit it to non-binding mediation in Los Angeles County before a mutually agreed mediator, sharing the mediator's fees equally.

14.3 **Litigation.** If mediation does not resolve the dispute within sixty (60) days, either party may file suit in the Superior Court of California, County of Los Angeles. The prevailing party is entitled to recover its reasonable attorneys' fees and costs.

14.4 **Continued Performance.** Pending resolution of any dispute, Subcontractor shall continue performing the Work. Contractor shall continue making undisputed payments.

ARTICLE 15 — GOVERNING LAW

15.1 **California Law.** This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws rules.

15.2 **Statutory Compliance.** Where a provision of this Subcontract is inconsistent with a non-waivable requirement of California law, the provision shall be applied to the maximum extent the law permits.

ARTICLE 16 — GENERAL PROVISIONS

16.1 **Assignment.** Subcontractor shall not assign this Subcontract or sublet the Work as a whole without Contractor's prior written consent.

16.2 **Notices.** Notices shall be in writing and delivered by hand, by overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble. Email notices shall be sent to the project managers designated at the preconstruction meeting.

16.3 **Independent Contractor.** Subcontractor is an independent contractor. Subcontractor controls the means and methods of the Work, subject to the Subcontract Documents.

16.4 **Severability.** If any provision of this Subcontract is held unenforceable, the remaining provisions remain in full effect.

16.5 **Entire Agreement.** This Subcontract, with the Subcontract Documents, is the entire agreement of the parties regarding the Work and supersedes prior proposals and negotiations. It may be amended only by a written instrument signed by both parties.

16.6 **Counterparts.** This Subcontract may be signed in counterparts and by electronic signature. Each counterpart is an original, and all counterparts together are one instrument.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date. Each signatory represents that he or she is authorized to bind the party for which he or she signs.

SIERRA CREST GENERAL CONTRACTORS, INC. By: _____ Name: Daniel R. Okafor Title: Vice President, Operations Date: _____

GRANITE STATE CONCRETE, INC. By: _____ Name: Teresa M. Valdivia Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Scheduled Value
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1	Mobilization, layout, and submittals	01 30 00 / 03 30 00	$14,000.00
2	Spread and continuous footings	03 30 00	$58,000.00
3	Grade beams	03 30 00	$36,000.00
4	Reinforcing steel, furnish and install	03 20 00	$64,000.00
5	Slab-on-grade, including vapor retarder and aggregate base	03 30 00 / 07 26 00	$72,000.00
6	Elevated second-floor slab on metal deck	03 30 00	$48,000.00
7	Board-formed architectural wall, including mockup	03 10 00 / 03 30 00	$52,000.00
8	Embeds, anchor bolts, and sleeves, setting	03 15 00	$8,000.00
9	Polished concrete finish, Gallery Rooms 104–110	03 35 43	$26,000.00
10	Close-out, cleanup, and as-built documentation	01 77 00	$8,000.00
	Subcontract Sum		**$386,000.00**